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China Auto Industry

We turn more positive after visiting London and Paris

We turn more optimistic on Chinese OEMs' overseas expansion, particularly in Europe, following our annual European Auto Conference last week ([here](#)), where we took the opportunity to visit BYD stores in London and Paris. To reflect our positive stance, we raise our 2026 overseas sales forecasts for BYD/Geely by ~15%/30%. Key strategic highlights below:

- **Europe: Mixed-propulsion transition market:** Chinese OEMs are shifting from single-powertrain exports to balanced portfolios (BEV+PHEV/HEV) plus brand ladders (e.g., BYD to Denza) and tech stories. Our store checks show robust PHEV demand alongside “value-for-money” BEV wins.
- **Retail execution moat: Channels + after-sales + residual value:** BYD emphasizes dense dealership/store coverage and high test-drive conversion (~50%); Chinese OEMs stress after-sales depth to build trust, residual value and monthly payment competitiveness, aiming to avoid pure price competition. Foreign brands face pressure as Chinese cars bundle high feature content as standard vs. options-heavy incumbents. **Chinese OEMs reached an 18% share in Europe's NEV segment in Apr-26, tripled from the same time last year.**
- **Charging/ecosystem as differentiator (not just the car):** BYD is using flash/ultra-fast charging rollout as part of the value proposition, targeting 3,000 flash-charging posts in Europe by end-2026. We believe execution will be key to boosting conversion and reducing buyer friction, helping defend residuals and compete on total ownership experience, rather than sticker price.
- **Export tailwinds are structural:** China's export mix is shifting rapidly toward NEVs (NEVs >50% of PV exports; PHEV share rising within NEVs), supporting overseas revenue/margin upside. BYD focuses on vertical integration, while Geely is more partnership/KD “asset-light.” We see localization as critical to mitigating tariff/regulatory risk. Meanwhile, European OEMs will aim to compete via an “in China, for global” strategy, including exporting select models from China and leveraging the cost-competitive Chinese supply chain to the global supply network.
- **Our BYD store visits at Canary Wharf and the Champs-Élysées:** Staff at both stores reported strong demand for PHEVs. We learned about: (1) the launch of the Denza flash charging model in the EU/UK; and (2) **wait times of about two to three months for most BYD models in France.**

China

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
BYD Company Limited - H	1211 HK	91,987	HKD	88.05	OW	n/c	124.00	Dec-26	120.00	n/c
BYD Company Limited - A	002594 CH	109,946	CNY	91.19	OW	n/c	124.00	Dec-26	120.00	n/c
Geely Automobile Holdings Ltd. (0175)	175 HK	21,235	HKD	18.17	OW	n/c	29.00	Dec-26	28.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 08 Jun 26.

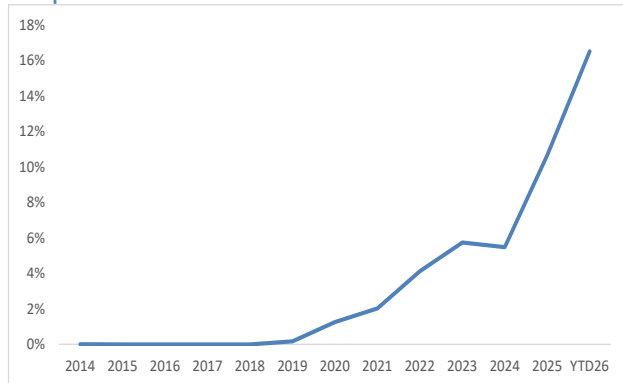
See page 21 for analyst certification and important disclosures, including non-US analyst disclosures.

Four strategic highlights from our store visits, Asia auto tour and European Auto Conference

We visited BYD stores in London and Paris along with our annual European Auto Conference in London last week ([note](#)). Our recent annual Asia auto tour along with J.P. Morgan's China summit yielded similar observations ([note](#)). We highlight collective strategic takeaways below. Further, to reflect our positive view on Chinese OEMs' expansion in overseas markets, we lift our 2026 overseas sales estimates for BYD and Geely by ~15% and ~30%, respectively.

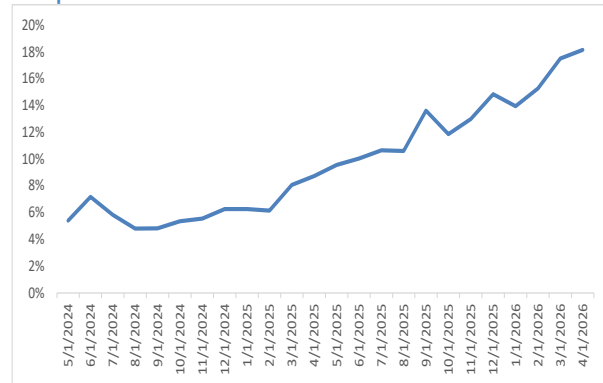
Chinese OEMs' market share gains are noticeable not only in Europe ([note](#)), but also in other parts of the world, such as Southeast Asia ([note](#)) and Latin America. For example, the latest data from Europe (including Eastern and Western Europe) suggest that **Chinese OEMs' market share in the NEV space (where Chinese brands are very competitive vs. foreign brands) topped 18% in April, more than tripling from 5% during the same time last year.**

Figure 1: Chinese OEMs' annual market share in the NEV space in Europe



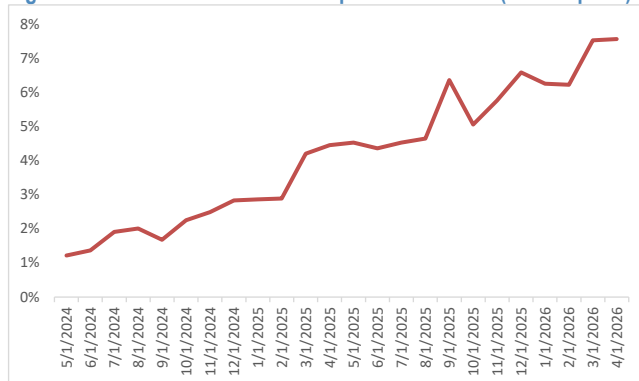
Source: Bloomberg Finance L.P., JATO Dynamics.

Figure 2: Chinese OEMs' monthly market share in the NEV space in Europe



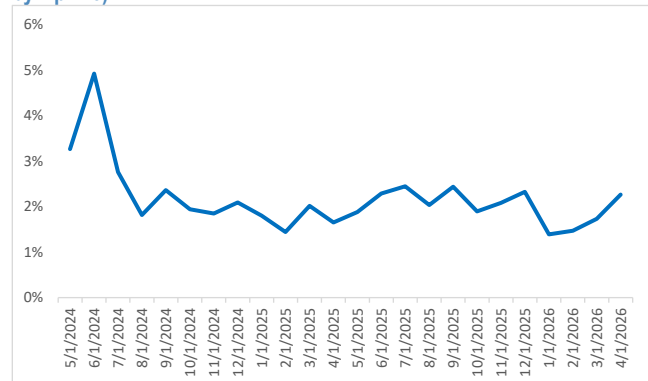
Source: Bloomberg Finance L.P., JATO Dynamics.

Figure 3: BYD market share in Europe's NEV market (8% in Apr-26)



Source: Bloomberg Finance L.P., JATO Dynamics.

Figure 4: MG (under SAIC) market share in Europe's NEV market (2% by Apr-26)



Source: Bloomberg Finance L.P., JATO Dynamics.

(1) Europe as a mixed-propulsion transition market: Chinese OEMs are winning by offering a *portfolio* (BEV + PHEV/HEV) plus a clear brand ladder (mainstream → premium), not a single “cheap BEV export” play

Chinese OEMs (e.g., BYD, Geely) are shifting their overseas strategies toward **multi-powertrain portfolios** and **brand/tech storytelling**, with Europe explicitly treated as a transition market, where PHEV demand matters alongside BEV.

Examples (store checks): BYD’s Paris and London stores show strong PHEV traction (e.g., Seal U DMi highlighted by sales staff we met as a bestselling PHEV; a meaningful share of store orders are PHEV), while certain BEV models (e.g., Sealion 7) are positioned as “value for money” leaders with long wait times, especially at the Paris store, suggesting that demand exceeds supply in inventory.

Implications for overseas markets: We expect share gains to be driven less by “BEV-only price disruption” and more by a menu that matches local charging readiness and consumer needs, with PHEV acting as a commercialization bridge.

Foreign brands’ strategy signal: Incumbents face a tougher value equation because Chinese models often bundle high-feature content as standard, e.g., Level 2 ADAS (vs. options-heavy German pricing), shifting competition toward content-per-euro and monthly payments (as opposed to MSRPs or sticker prices).

J.P. Morgan view: We are surprised at the **speed of overseas volume growth** among Chinese brands, driven by competitive product offerings, multi-powertrain options and superior interior/content vs. foreign brands at similar price points. To reflect this positive moment, we raise our overseas volume estimates for BYD and Geely in our earnings models.

(2) Go-to-market is becoming a retail execution game: Dense channels + after-sales credibility + residual value discipline (i.e., monthly payment competitiveness)

One key observation throughout our visits and meetings is that Chinese OEMs are emphasizing **rapid channel buildout** (stores/dealers), measurable conversion and deepening after-sales to build trust and residual value, explicitly linking this to monthly payment competitiveness, rather than sticker price warfare.

Examples: BYD’s Europe expansion plan targets large physical scale (dealers/stores), and management messaging highlights rapid conversion (~45-50%) into orders after test drives and solid demand (especially considering supply tightness in Europe, such as at the Paris store we visited).

Overseas market implications: The winning playbook looks closer to “fast retail rollout + service credibility” than to traditional export-only distribution, raising the bar for incumbents that may be slower to reconfigure dealer economics and inventory strategy.

Foreign brands’ strategy response: Foreign OEMs are already adjusting, e.g., German premium OEMs have been consolidating dealer networks in China and rightsizing production capacity in China, signaling a broader shift toward

profitability protection and structural resizing, rather than pure volume defense. Outside China, we notice select global OEMs' strategic shift from **"in China, for China"** previously to **"in China, for global"** now, meaning that global OEMs are bringing select China-made products to overseas markets and exploring leveraging cost-competitive Chinese suppliers to their global supply chain networks.

J.P. Morgan view: Based on our store visits and discussions with management, we believe BYD's focus on residual value discipline (and avoiding price competition) is central to sustaining brand health and monthly-payment positioning as volumes scale.

(3) The next moat is ecosystem + charging (flash/ultra-fast) paired with premium products – used to lift value propositions and reduce price pressure

We learned at our store visits and European auto conference that BYD is positioning charging infrastructure (including flash charging) as an ownership proposition and commercialization lever; management has stated a target of **3,000 flash-charging posts in Europe by end-2026**, including 300 in the UK, and a premium-brand Denza launch in 2H26, which will be the first BYD offering with a "flash charging solution."

What also surprised us was the Paris store sales staff's comment that there are meaningful orders for the newly launched Denza model and that wait times are now about six months, even though Denza has not been formally launched in Europe and buyers know only an initial indicative price of ~€115,000.

Overseas market implications: If executed, OEM-tied charging could reduce buyer friction (range/charging anxiety), support fleets and shift competition from price to **total ownership experience**, which is particularly important in Europe, where charging availability varies widely across geographies.

Foreign brands' strategy response: This development pressures incumbents to compete not just on vehicle specs, but also on **ecosystem partnerships** (charging access, software stacks, service plans), and to rethink what is bundled vs. optioned.

J.P. Morgan view: We believe the charging rollout, if delivered at scale, could support conversion/acceptance and help BYD avoid pure price competition by strengthening the overall value proposition beyond sticker price.

(4) The "overseas story" is structurally supported by export mix shifts (NEV/PHEV) and a push toward localization, but execution + policy risk is rising

We expect China PV exports to be increasingly NEV-led (NEVs reaching a majority share), with **PHEV becoming a larger component of NEV exports**, a pattern that may surprise overseas investors and aligns with Europe's transition-market reality.

Overseas market implications: As the mix shifts to higher-ASP electrified products, overseas could become disproportionately important to revenue/profit (vs. volume), which supports more aggressive investment in channels, charging and local footprints.

Localization divergence (BYD vs. Geely): We see strategic differences between OEMs, with BYD pursuing a more vertically integrated overseas footprint (plants outside China), while Geely leans more toward partnership/KD and “asset-light” pathways.

Foreign brands’ strategy response (“in China, for global”): Global OEMs are trying to export China-made models and leverage China’s cost-competitive supply chain globally, an explicit attempt to turn China capabilities into an international countermeasure.

J.P. Morgan view: Longer-term, we view Chinese OEMs’ exports/share gains as **structural, rather than cyclical**. At the same time, Chinese OEMs’ localization will be a decisive strategic variable to mitigate tariff/regulatory risk; examples include BYD’s plants in Brazil and Hungary, Geely’s partnerships with Porton in Malaysia and with Ford in Spain, Leapmotor’s JV with Stellantis, and XPeng’s alliance with Magna in Austria. Localized solutions should help potential geopolitical headwinds and tariff/non-tariff barriers facing Chinese brands in their overseas endeavors.

Summary of our BYD store visits in Paris and London

Paris store

- **Bestselling BEV:** Sealion 7 with an MSRP of ~€48,000 and a wait time of three to four months; monthly installment around €800 if buyers choose the leasing finance option.
- **Bestselling PHEV:** Seal U DMI with a starting MSRP of €40,600 and monthly installments around €600-700. Wait time is around one month, where most buyers also consider Tesla Model Y.
- Most buyers choose BYD for its value-for-money position: BYD offers many features as standard, e.g., 360 view, seat heating, ADAS level 2 vs. German models, where these features are mostly optional and customers need to pay.
- What surprises us is BYD’s introduction of premium-brand Denza Z9 GT, which will be equipped with the company’s latest flash-charging solution (i.e., state of charge (SOC) only 9 minutes from 10% to 97%). **The initial indicative price is €115,000, according to sales staff at the store, with formal debut in 2H26. Despite this, BYD has already received meaningful orders, so wait times are about six months.** Most buyers compare the Z9 GT with the Porsche Taycan (starting MSRP ~€103,000). The store manager told us that BYD is starting to building ultra-fast charging stations in Southern France first.
- All in all, BYD sales staff told us that the company currently has 10 models available in the market, and its average order flow is split between around 50-60% PHEVs and the rest BEVs.
- In terms of promotion, BYD offers around a 5-7% discount for most models. When asked why BYD needs to offer discounts, considering robust demand, sales staff told us it is a marketing practice, as customers like to receive some incentive before making a purchase decision.

London store

- Similar to Paris, BYD recently introduced the highest-end Denza Z9 GT in the UK, with formal debut scheduled for 2H26. Sales staff told us that estimated starting MSRP would be £80k-85k, more expensive than the BMW i5 (starting at £68k) and the Benz EQE (from £69k). Denza will be equipped with BYD's latest flash-charging battery and solution.
- BYD indicates that it plans to build 3,000 ultra-fast charging stations or posts in Europe by end-2026, of which 300 will be in the UK.
- PHEV Seal U DMi is the bestselling model, with a starting MSRP of ~£40k or monthly installments around £420 if buyers choose the leasing finance option.
- The Sealion 7 BEV SUV is BYD's top-selling BEV in the UK because of its value-for-money strategy. Starting MSRP is ~£60k, and the monthly installment is ~£610.

Figure 3: BYD store in Paris (the bestselling BEV, Sealion 7, at an MSRP of ~€48k or a monthly installment of ~€800 and three months' wait time



Source: Photo taken by J.P. Morgan at the BYD store.

Figure 4: BYD store in London



Source: Photo taken by J.P. Morgan at the BYD store.

Overweight

1211.HK, 1211 HK

Price (08 Jun 26): HK\$88.05

▲ **Price Target (Dec-26): HK\$124.00**
Prior (Dec-26): HK\$120.00

China

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	4.54	4.71	3.9%
Adj. EPS - 27E (Rmb)	5.86	6.05	3.2%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	33	36	45	57	56
Growth	51	20	9	18	69
Momentum	75	97	3	26	24
Quality	42	29	25	63	83
Low Vol	68	59	56	79	94
ESGQ	1	28	26	1	6

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

BYD Company Limited - H

Stronger-than-expected overseas demand

- **Earnings estimate changes:** We lift our 2026-27 earnings estimates by a moderate 3-4%, based on two assumption changes: (1) on the positive side, we lift our estimate of BYD's overseas sales volume by ~15%, to 1.75mn units from 1.5mn units, reflecting stronger-than-expected traction from recent Europe channel checks and our positive stance on Chinese OEM overseas expansion; and (2) on the flip side, we trim our domestic volume estimate to 3.4mn units from 3.5mn units to reflect our recent revision of the overall China auto market, where we expect domestic NEV demand to slip ~9% this year.
- **Long-term thesis #1: Overseas growth + mix as key earnings engine:** We continue to see BYD's overseas expansion as a core driver, supported by a more balanced multi-powertrain portfolio (BEV + PHEV/HEV) and evidence of demand for both PHEVs and "value-for-money" BEVs in Europe (including indications of long wait times), suggesting traction beyond a "cheap BEV" narrative.
- **Long-term thesis #2: Retail execution moat (distribution, after-sales, residual value discipline):** We believe BYD's emphasis on dense retail coverage, strong test-drive conversion and after-sales depth is becoming a competitive advantage, with management focus on protecting residual value and competing on monthly payment/total ownership experience, rather than pure sticker price competition.
- **Long-term thesis #3: Tech + ecosystem differentiation (charging, in-house ADAS chip and potentially humanoid robot business):** BYD's strategy increasingly extends beyond the vehicle into ecosystem and technology differentiation – e.g., ultra-fast/flash charging rollout and premium brand laddering – and we see additional optionality from its advanced ADAS roadmap (including an in-house chip) and longer-dated potential from humanoid robotics initiatives.

Price Performance



	YTD	1m	3m	12m
Abs	-7.7%	-11.7%	-7.0%	-34.4%
Rel	-1.3%	-5.6%	-3.7%	-29.5%

Company Data

Shares O/S (mn)	8,184
52-week range (HK\$)	143.60-86.85
Market cap (\$ mn)	91,987
Exchange rate	7.83
Free float (%)	100.0%
3M ADV (mn)	31.49
3M ADV (\$ mn)	404.9
Volatility (90 Day)	44
Index	HSCEI
BBG ANR (Buy Hold Sell)	32 2 2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	803,965	921,249	988,874	1,057,691
Adj. EBIT	39,104	52,972	67,848	80,557
Adj. EBITDA	119,629	131,114	144,949	156,801
Adj. net income	37,039	42,548	54,599	64,790
Adj. EPS	4.10	4.71	6.05	7.18
BBG EPS	3.98	4.48	5.69	6.78
Cashflow from operations	59,136	257,153	168,906	218,809
FCFF	(97,672)	185,153	96,906	146,809
Margins and Growth				
Revenue Growth Y/Y (%)	3.5%	14.6%	7.3%	7.0%
EBIT margin	4.9%	5.8%	6.9%	7.6%
EBIT Growth Y/Y (%)	(23.2%)	35.5%	28.1%	18.7%
EBITDA margin	14.9%	14.2%	14.7%	14.8%
EBITDA Growth Y/Y (%)	1.6%	9.6%	10.6%	8.2%
Net margin	4.6%	4.6%	5.5%	6.1%
Adj. EPS growth	(19.8%)	14.9%	28.3%	18.7%
Ratios				
Adj. tax rate	13.6%	15.9%	16.0%	16.0%
Interest cover	-	-	-	-
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA	0.3	NM	NM	NM
ROE	17.2%	16.0%	17.6%	17.7%
Valuation				
FCFF yield	(14.2%)	26.9%	14.1%	21.3%
Dividend yield	1.7%	0.5%	0.6%	0.8%
EV/Revenue	0.4	0.1	0.0	NM
EV/EBITDA	2.6	1.0	0.3	NM
Adj. P/E	18.6	16.2	12.6	10.6

Summary Investment Thesis and Valuation

With buyers increasingly focusing on ownership cost and the fact that more NEVs today are priced at similar levels as ICE cars in China (even before subsidy), we believe BYD will be able to deliver sustained volume in China and 57% or more growth outside China. Adding to this positive momentum are: (1) the recent introduction of BYD's ultra-fast charging strategy in the domestic market; and (2) production ramps across global factories from 2Q26, e.g., Hungary, Indonesia, Malaysia and Brazil. We rate the stock OW.

We set a Dec-26 PT of HK\$124 (vs. our previous Dec-26 PT of HK\$120) based on a blend of multiples and DCF valuation methodology. Our blended methodology implies a fair value for BYD-H of HK\$124. Our analysis suggests that BYD-H's long-term share price could range from HK\$94 to HK\$154, subject to market sentiment and risk appetite. Our PT is based on the median of the long-term fair value range.

Performance Drivers

Market	19%
Region	1%
Macro	16%
Style	1%
Idiosyn.	63%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.58	0.41
Region: China	0.12	0.18
Macro:		
Generic 1st 'CO' Future	-0.17	-0.35
US 10 Year Yield	0.35	0.33
Citi Economic Surprise - EM	-0.23	-0.24
Quant Styles:		
LowVol	-0.23	-0.10
Growth	0.19	0.09
Momentum	0.03	0.08

Table 1: BYD estimate revisions

Rmb mn	2026E			2027E		
	Revised	Previous	Change	Revised	Previous	Change
Revenue	921,249	910,832	1%	988,874	977,904	1%
Sales growth (%)	15%	13%		7%	7%	
COGS	751,798	744,618	1%	797,557	789,975	1%
Gross profit	169,451	166,214	2%	191,317	187,929	2%
Gross margin (%)	18%	18%		19.3%	19.2%	
Operating profit	53,072	51,166	4%	67,948	65,885	3%
Operating margin (%)	6%	6%		6.9%	6.7%	
Pretax profit	52,972	51,066	4%	67,848	65,785	3%
Tax rate	16%	16%		16%	16%	
Net profit	42,548	40,966	4%	54,599	52,887	3%
Net margin (%)	5%	4%		5.5%	5.4%	
Net profit growth (%)	30%	26%		28%	29%	
EPS (basic) (Rmb)	4.7	4.5	4%	6.0	5.9	3%

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

BYD Company Limited - H (Overweight; Price Target: HK\$124.00)

Investment Thesis

With buyers increasingly focusing on ownership cost and the fact that more NEVs today are priced at similar levels as ICE cars in China (even before subsidy), we believe BYD will be able to deliver sustained volume in China and 57% or more growth outside China. Adding to this positive momentum are: (1) the recent introduction of BYD's ultra-fast charging strategy in the domestic market; and (2) production ramps across global factories from 2Q26, e.g., Hungary, Indonesia, Malaysia and Brazil. We rate the stock OW.

Valuation

We set a Dec-26 PT of HK\$124 based on a blend of multiples and DCF valuation methodology. Our blended methodology implies a fair value for BYD-H of HK\$124. Our analysis suggests that BYD-H's long-term share price could range from HK\$94 to HK\$154, subject to market sentiment and risk appetite. Our PT is based on the median of the long-term fair value range.

BYD long-term fair value assessment based on different FY30 multiples

	2030E
Sales volume (units)	7,000,000
Domestic	3,670,293
Overseas	3,329,707
NP per unit (Rmb)	
Domestic	6,000
Overseas	20,000
Total net profit (Rmb mn)	88,616
2030E P/E	8x
Implied equity value (Rmb mn)	708,927
Implied value/share (Rmb)	81
Implied value/share (HK\$)	94
2030E P/E	10x
Implied equity value (Rmb mn)	886,159
Implied value/share (Rmb)	102
Implied value/share (HK\$)	117

Source: J.P. Morgan estimates.

BYD long-term PT assessment based on DCF analysis

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Operating cash flow	257,153	168,906	211,133	263,916	303,503	318,678	334,612	351,343	368,910	387,355
Less: Capex	(72,000)	(70,000)	(70,000)	(70,000)	(70,000)	(60,000)	(60,000)	(60,000)	(60,000)	(60,000)
FCFF	185,153	98,906	141,133	193,916	233,503	258,678	274,612	291,343	308,910	327,355
PV of FCFF		86,005	106,717	127,503	133,506	128,609	118,722	109,527	100,983	93,055
WACC	15%									
Long-term growth rate	2%									
PV of FCFFs	1,004,627									
PV of terminal value	233,998									
Enterprise value	1,238,625									
Net debt	35,075									
Equity value	1,203,550									
No. of shares (mn)	9,026									
Implied value/share (Rmb)	133									
Implied value/share (HK\$)	154									

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include worse-than-expected sales and industry competition from Chinese and foreign mass-market brands, such as Volkswagen, Geely and Great Wall Motor.

BYD Company Limited - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	777,102	803,965	921,249	988,874	1,057,691	Cash flow from operating activities	133,454	59,136	257,153	168,906	218,809
COGS	(626,047)	(661,305)	(751,798)	(797,557)	(845,205)	o/w Depreciation & amortization	66,906	80,526	78,142	77,101	76,243
Gross profit	151,056	142,660	169,451	191,317	212,486	o/w Changes in working capital	(272)	(75,327)	134,385	34,708	74,795
SG&A	(42,730)	(46,385)	(54,585)	(57,543)	(61,143)	Cash flow from investing activities	(129,082)	(197,463)	(72,000)	(72,000)	(72,000)
Adj. EBITDA	117,803	119,629	131,114	144,949	156,801	o/w Capital expenditure	(97,360)	(156,808)	(72,000)	(72,000)	(72,000)
D&A	(66,906)	(80,526)	(78,142)	(77,101)	(76,243)	as % of sales	12.5%	19.5%	7.8%	7.3%	6.8%
Adj. EBIT	50,897	39,104	52,972	67,848	80,557	Cash flow from financing activities	(10,268)	104,614	(3,231)	(4,255)	(5,460)
Net Interest	0	0	0	0	0	o/w Dividends paid	(9,003)	(34,668)	(3,231)	(4,255)	(5,460)
Adj. PBT	54,029	44,174	52,972	67,848	80,557	o/w Shares issued/(repurchased)	98	40,222	0	0	0
Tax	(8,093)	(5,992)	(8,446)	(10,851)	(12,886)	o/w Net debt issued/(repaid)	(12,440)	64,786	0	0	0
Minority Interest	(1,334)	(1,142)	(1,979)	(2,398)	(2,882)	Net change in cash	(5,896)	(33,714)	181,921	92,651	141,350
Adj. Net Income	44,603	37,039	42,548	54,599	64,790	Adj. Free cash flow to firm	36,094	(97,672)	185,153	96,906	146,809
Reported EPS (Basic)	5.11	4.10	4.71	6.05	7.18	y/y Growth	(24.2%)	(370.6%)	(289.6%)	(47.7%)	51.5%
Adj. EPS	5.11	4.10	4.71	6.05	7.18						
DPS	1.03	1.32	0.36	0.47	0.60						
Payout ratio	20.2%	32.3%	7.6%	7.8%	8.4%						
Shares outstanding	8,721	9,026	9,026	9,026	9,026						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	102,739	75,425	257,346	349,997	491,347	Gross margin	19.4%	17.7%	18.4%	19.3%	20.1%
Accounts receivable	62,299	37,005	50,142	61,095	66,094	EBITDA margin	15.2%	14.9%	14.2%	14.7%	14.8%
Inventories	116,036	138,421	108,746	131,614	99,949	EBIT margin	6.5%	4.9%	5.8%	6.9%	7.6%
Other current assets	89,498	120,618	120,618	120,618	120,618	Net profit margin	5.7%	4.6%	4.6%	5.5%	6.1%
Current assets	370,572	371,468	536,851	663,324	778,008	ROE	27.5%	17.2%	16.0%	17.6%	17.7%
PP&E	262,307	292,776	290,909	289,452	288,314	ROA	6.1%	4.4%	4.4%	4.9%	5.3%
LT investments	-	-	-	-	-	ROCE	22.0%	11.8%	11.8%	13.5%	14.2%
Other non current assets	150,476	219,486	215,111	211,368	208,162	SG&A/Sales	5.5%	5.8%	5.9%	5.8%	5.8%
Total assets	783,356	883,730	1,042,872	1,164,144	1,274,484	Net debt/Equity	NM	0.1	NM	NM	NM
Short term borrowings	22,326	44,797	54,634	61,800	67,021	Net debt/EBITDA	NM	0.3	NM	NM	NM
Payables	244,027	209,206	327,053	395,583	443,711	Sales/Assets (x)	1.1	1.0	1.0	0.9	0.9
Other short term liabilities	229,632	214,448	214,448	214,448	214,448	Assets/Equity (x)	4.5	3.9	3.6	3.6	3.3
Current liabilities	495,985	468,451	596,135	671,831	725,181	Interest cover (x)	-	-	-	-	-
Long-term debt	8,258	65,703	55,866	48,700	43,479	Operating leverage	145.4%	(670.3%)	243.1%	382.6%	269.2%
Other long term liabilities	80,425	91,036	91,036	91,036	91,036	Tax rate	15.0%	13.6%	15.9%	16.0%	16.0%
Total liabilities	584,668	625,191	743,037	811,567	859,696	Revenue y/y Growth	29.0%	3.5%	14.6%	7.3%	7.0%
Shareholders' equity	185,251	246,275	285,591	335,935	395,265	EBITDA y/y Growth	49.0%	1.6%	9.6%	10.6%	8.2%
Minority interests	13,437	12,265	14,243	16,641	19,523	EPS y/y Growth	48.2%	(19.8%)	14.9%	28.3%	18.7%
Total liabilities & equity	783,356	883,730	1,042,872	1,164,144	1,274,484						
BVPS	21.24	27.28	31.64	37.22	43.79	Valuation					
y/y Growth	33.5%	28.4%	16.0%	17.6%	17.7%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(72,155)	35,075	(146,846)	(239,497)	(380,847)	P/E (x)	14.9	18.6	16.2	12.6	10.6
						P/BV (x)	3.6	2.8	2.4	2.0	1.7
						EV/EBITDA (x)	1.8	2.6	1.0	0.3	NM
						Dividend Yield	1.4%	1.7%	0.5%	0.6%	0.8%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

002594.SZ,002594 CH

Price (08 Jun 26): Rmb91.19

▲ **Price Target (Dec-26): Rmb124.00**
Prior (Dec-26): Rmb120.00

China

Head of APAC Auto Research

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J.P. Morgan Securities Singapore Private Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	4.54	4.71	3.9%
Adj. EPS - 27E (Rmb)	5.86	6.05	3.2%

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	32	40	43	62	65
Growth	46	15	4	2	63
Momentum	82	92	9	27	15
Quality	40	30	20	56	79
Low Vol	37	39	39	47	82
ESGQ	1	26	26	1	9

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

BYD Company Limited - A

Stronger-than-expected overseas demand

- **Earnings estimate changes:** We lift our 2026-27 earnings estimates by a moderate 3-4%, based on two assumption changes: (1) on the positive side, we lift our estimate of BYD's overseas sales volume by ~15%, to 1.75mn units from 1.5mn units, reflecting stronger-than-expected traction from recent Europe channel checks and our positive stance on Chinese OEM overseas expansion; and (2) on the flip side, we trim our domestic volume estimate to 3.4mn units from 3.5mn units to reflect our recent revision of the overall China auto market, where we expect domestic NEV demand to slip ~9% this year.
- **Long-term thesis #1: Overseas growth + mix as key earnings engine:** We continue to see BYD's overseas expansion as a core driver, supported by a more balanced multi-powertrain portfolio (BEV + PHEV/HEV) and evidence of demand for both PHEVs and "value-for-money" BEVs in Europe (including indications of long wait times), suggesting traction beyond a "cheap BEV" narrative.
- **Long-term thesis #2: Retail execution moat (distribution, after-sales, residual value discipline):** We believe BYD's emphasis on dense retail coverage, strong test-drive conversion and after-sales depth is becoming a competitive advantage, with management focus on protecting residual value and competing on monthly payment/total ownership experience, rather than pure sticker price competition.
- **Long-term thesis #3: Tech + ecosystem differentiation (charging, in-house ADAS chip and potentially humanoid robot business):** BYD's strategy increasingly extends beyond the vehicle into ecosystem and technology differentiation – e.g., ultra-fast/flash charging rollout and premium brand laddering – and we see additional optionality from its advanced ADAS roadmap (including an in-house chip) and longer-dated potential from humanoid robotics initiatives.

Price Performance



	YTD	1m	3m	12m
Abs	-6.7%	-8.8%	-2.6%	-24.0%
Rel	-6.5%	-3.6%	1.4%	-40.5%

Company Data

Shares O/S (mn)	8,184
52-week range (Rmb)	121.99-85.88
Market cap (\$ mn)	109,946
Exchange rate	6.79
Free float (%)	40.9%
3M ADV (mn)	55.50
3M ADV (\$ mn)	825.1
Volatility (90 Day)	32
Index	SHASHR
BBG ANR (Buy Hold Sell)	39 1 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	803,965	921,249	988,874	1,057,691
Adj. EBIT	39,104	52,972	67,848	80,557
Adj. EBITDA	119,629	131,114	144,949	156,801
Adj. net income	37,039	42,548	54,599	64,790
Adj. EPS	4.10	4.71	6.05	7.18
BBG EPS	4.00	4.56	5.82	6.97
Cashflow from operations	59,136	257,153	168,906	218,809
FCFF	(97,672)	185,153	96,906	146,809
Margins and Growth				
Revenue Growth Y/Y (%)	3.5%	14.6%	7.3%	7.0%
EBIT margin	4.9%	5.8%	6.9%	7.6%
EBIT Growth Y/Y (%)	(23.2%)	35.5%	28.1%	18.7%
EBITDA margin	14.9%	14.2%	14.7%	14.8%
EBITDA Growth Y/Y (%)	1.6%	9.6%	10.6%	8.2%
Net margin	4.6%	4.6%	5.5%	6.1%
Adj. EPS growth	(19.8%)	14.9%	28.3%	18.7%
Ratios				
Adj. tax rate	13.6%	15.9%	16.0%	16.0%
Interest cover	-	-	-	-
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA	0.3	NM	NM	NM
ROE	17.2%	16.0%	17.6%	17.7%
Valuation				
FCFF yield	(11.9%)	22.5%	11.8%	17.8%
Dividend yield	1.5%	0.4%	0.5%	0.7%
EV/Revenue	0.4	0.1	0.0	NM
EV/EBITDA	2.6	1.0	0.3	NM
Adj. P/E	22.2	19.3	15.1	12.7

Summary Investment Thesis and Valuation

With buyers increasingly focusing on ownership cost and the fact that more NEVs today are priced at similar levels as ICE cars in China (even before subsidy), we believe BYD will be able to deliver sustained volume in China and 57% or more growth outside China. Adding to this positive momentum are: (1) the recent introduction of BYD's ultra-fast charging strategy in the domestic market; and (2) production ramps across global factories from 2Q26, e.g., Hungary, Indonesia, Malaysia and Brazil. We rate the stock OW.

We set a Dec-26 PT of Rmb124 (vs. our previous Dec-26 PT of Rmb120) by applying a ~10% premium to our BYD-H PT. BYD-A has been trading at a ~10% premium to BYD-H over the past two to three years, so we believe the 10% premium is fair. Our blended multiples/DCF methodology implies a fair value for BYD-H of HK\$124. Our analysis suggests that BYD-H's long-term share price could range from HK\$94 to HK\$154, subject to market sentiment and risk appetite. Our PT is based on the median of the long-term fair value range.

Performance Drivers

Market	10%
Region	3%
Macro	19%
Style	7%
Idiosyn.	61%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.38	0.29
Region: China	0.03	0.25
Macro:		
Generic 1st 'CO' Future	-0.12	-0.36
US 10 Year Yield	0.22	0.32
Citi Economic Surprise - EM	-0.22	-0.30
Quant Styles:		
Growth	0.40	0.24
Value	-0.42	-0.21
DivYld	-0.41	-0.20

Table 2: BYD estimate revisions

Rmb mn	2026E			2027E		
	Revised	Previous	Change	Revised	Previous	Change
Revenue	921,249	910,832	1%	988,874	977,904	1%
Sales growth (%)	15%	13%		7%	7%	
COGS	751,798	744,618	1%	797,557	789,975	1%
Gross profit	169,451	166,214	2%	191,317	187,929	2%
Gross margin (%)	18%	18%		19.3%	19.2%	
Operating profit	53,072	51,166	4%	67,948	65,885	3%
Operating margin (%)	6%	6%		6.9%	6.7%	
Pretax profit	52,972	51,066	4%	67,848	65,785	3%
Tax rate	16%	16%		16%	16%	
Net profit	42,548	40,966	4%	54,599	52,887	3%
Net margin (%)	5%	4%		5.5%	5.4%	
Net profit growth (%)	30%	26%		28%	29%	
EPS (basic) (Rmb)	4.7	4.5	4%	6.0	5.9	3%

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

BYD Company Limited - A (Overweight; Price Target: Rmb124.00)

Investment Thesis

With buyers increasingly focusing on ownership cost and the fact that more NEVs today are priced at similar levels as ICE cars in China (even before subsidy), we believe BYD will be able to deliver sustained volume in China and 57% or more growth outside China. Adding to this positive momentum are: (1) the recent introduction of BYD's ultra-fast charging strategy in the domestic market; and (2) production ramps across global factories from 2Q26, e.g., Hungary, Indonesia, Malaysia and Brazil. We rate the stock OW.

Valuation

We set a Dec-26 PT of Rmb124 by applying a ~10% premium to our BYD-H PT. BYD-A has been trading at a ~10% premium to BYD-H over the past two to three years, so we believe the 10% premium is fair. Our blended multiples/DCF methodology implies a fair value for BYD-H of HK\$124. Our analysis suggests that BYD-H's long-term share price could range from HK\$94 to HK\$154, subject to market sentiment and risk appetite. Our PT is based on the median of the long-term fair value range.

BYD long-term fair value assessment based on different FY30 multiples

	2030E
Sales volume (units)	7,000,000
Domestic	3,670,293
Overseas	3,329,707
NP per unit (Rmb)	
Domestic	6,000
Overseas	20,000
Total net profit (Rmb mn)	88,616
2030E P/E	8x
Implied equity value (Rmb mn)	708,927
Implied value/share (Rmb)	81
Implied value/share (HK\$)	94
2030E P/E	10x
Implied equity value (Rmb mn)	886,159
Implied value/share (Rmb)	102
Implied value/share (HK\$)	117

Source: J.P. Morgan estimates.

BYD long-term PT assessment based on DCF analysis

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Operating cash flow	257,153	168,906	211,133	263,916	303,503	318,678	334,612	351,343	368,910	387,355
Less: Capex	(72,000)	(70,000)	(70,000)	(70,000)	(70,000)	(60,000)	(60,000)	(60,000)	(60,000)	(60,000)
FCFF	185,153	98,906	141,133	193,916	233,503	258,678	274,612	291,343	308,910	327,355
PV of FCFF		86,005	106,717	127,503	133,506	128,609	118,722	109,527	100,983	93,055
WACC	15%									
Long-term growth rate	2%									
PV of FCFFs	1,004,627									
PV of terminal value	233,998									
Enterprise value	1,238,625									
Net debt	35,075									
Equity value	1,203,550									
No. of shares (mn)	9,026									
Implied value/share (Rmb)	133									
Implied value/share (HK\$)	154									

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include worse-than-expected sales and industry competition from Chinese and foreign mass-market brands, such as Volkswagen, Geely and Great Wall Motor.

BYD Company Limited - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	777,102	803,965	921,249	988,874	1,057,691	Cash flow from operating activities	133,454	59,136	257,153	168,906	218,809
COGS	(626,047)	(661,305)	(751,798)	(797,557)	(845,205)	o/w Depreciation & amortization	66,906	80,526	78,142	77,101	76,243
Gross profit	151,056	142,660	169,451	191,317	212,486	o/w Changes in working capital	(272)	(75,327)	134,385	34,708	74,795
SG&A	(42,730)	(46,385)	(54,585)	(57,543)	(61,143)	Cash flow from investing activities	(129,082)	(197,463)	(72,000)	(72,000)	(72,000)
Adj. EBITDA	117,803	119,629	131,114	144,949	156,801	o/w Capital expenditure	(97,360)	(156,808)	(72,000)	(72,000)	(72,000)
D&A	(66,906)	(80,526)	(78,142)	(77,101)	(76,243)	as % of sales	12.5%	19.5%	7.8%	7.3%	6.8%
Adj. EBIT	50,897	39,104	52,972	67,848	80,557	Cash flow from financing activities	(10,268)	104,614	(3,231)	(4,255)	(5,460)
Net Interest	0	0	0	0	0	o/w Dividends paid	(9,003)	(34,668)	(3,231)	(4,255)	(5,460)
Adj. PBT	54,029	44,174	52,972	67,848	80,557	o/w Shares issued/(repurchased)	98	40,222	0	0	0
Tax	(8,093)	(5,992)	(8,446)	(10,851)	(12,886)	o/w Net debt issued/(repaid)	(12,440)	64,786	0	0	0
Minority Interest	(1,334)	(1,142)	(1,979)	(2,398)	(2,882)	Net change in cash	(5,896)	(33,714)	181,921	92,651	141,350
Adj. Net Income	44,603	37,039	42,548	54,599	64,790	Adj. Free cash flow to firm	36,094	(97,672)	185,153	96,906	146,809
Reported EPS (Basic)	5.11	4.10	4.71	6.05	7.18	y/y Growth	(24.2%)	(370.6%)	(289.6%)	(47.7%)	51.5%
Adj. EPS	5.11	4.10	4.71	6.05	7.18						
DPS	1.03	1.32	0.36	0.47	0.60						
Payout ratio	20.2%	32.3%	7.6%	7.8%	8.4%						
Shares outstanding	8,721	9,026	9,026	9,026	9,026						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	102,739	75,425	257,346	349,997	491,347	Gross margin	19.4%	17.7%	18.4%	19.3%	20.1%
Accounts receivable	62,299	37,005	50,142	61,095	66,094	EBITDA margin	15.2%	14.9%	14.2%	14.7%	14.8%
Inventories	116,036	138,421	108,746	131,614	99,949	EBIT margin	6.5%	4.9%	5.8%	6.9%	7.6%
Other current assets	89,498	120,618	120,618	120,618	120,618	Net profit margin	5.7%	4.6%	4.6%	5.5%	6.1%
Current assets	370,572	371,468	536,851	663,324	778,008	ROE	27.5%	17.2%	16.0%	17.6%	17.7%
PP&E	262,307	292,776	290,909	289,452	288,314	ROA	6.1%	4.4%	4.4%	4.9%	5.3%
LT investments	-	-	-	-	-	ROCE	22.0%	11.8%	11.8%	13.5%	14.2%
Other non current assets	150,476	219,486	215,111	211,368	208,162	SG&A/Sales	5.5%	5.8%	5.9%	5.8%	5.8%
Total assets	783,356	883,730	1,042,872	1,164,144	1,274,484	Net debt/Equity	NM	0.1	NM	NM	NM
Short term borrowings	22,326	44,797	54,634	61,800	67,021	Net debt/EBITDA	NM	0.3	NM	NM	NM
Payables	244,027	209,206	327,053	395,583	443,711	Sales/Assets (x)	1.1	1.0	1.0	0.9	0.9
Other short term liabilities	229,632	214,448	214,448	214,448	214,448	Assets/Equity (x)	4.5	3.9	3.6	3.6	3.3
Current liabilities	495,985	468,451	596,135	671,831	725,181	Interest cover (x)	-	-	-	-	-
Long-term debt	8,258	65,703	55,866	48,700	43,479	Operating leverage	145.4%	(670.3%)	243.1%	382.6%	269.2%
Other long term liabilities	80,425	91,036	91,036	91,036	91,036	Tax rate	15.0%	13.6%	15.9%	16.0%	16.0%
Total liabilities	584,668	625,191	743,037	811,567	859,696	Revenue y/y Growth	29.0%	3.5%	14.6%	7.3%	7.0%
Shareholders' equity	185,251	246,275	285,591	335,935	395,265	EBITDA y/y Growth	49.0%	1.6%	9.6%	10.6%	8.2%
Minority interests	13,437	12,265	14,243	16,641	19,523	EPS y/y Growth	48.2%	(19.8%)	14.9%	28.3%	18.7%
Total liabilities & equity	783,356	883,730	1,042,872	1,164,144	1,274,484						
BVPS	21.24	27.28	31.64	37.22	43.79	Valuation					
y/y Growth	33.5%	28.4%	16.0%	17.6%	17.7%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(72,155)	35,075	(146,846)	(239,497)	(380,847)	P/E (x)	17.8	22.2	19.3	15.1	12.7
						P/BV (x)	4.3	3.3	2.9	2.5	2.1
						EV/EBITDA (x)	1.8	2.6	1.0	0.3	NM
						Dividend Yield	1.1%	1.5%	0.4%	0.5%	0.7%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

0175.HK, 175 HK

Price (08 Jun 26): HK\$18.17

▲ **Price Target (Dec-26): HK\$29.00**
Prior (Dec-26): HK\$28.00

China

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Limited/ J.P. Morgan Securities (Asia Pacific)
Limited/ J.P. Morgan Broking (Hong Kong)
Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	2.32	2.42	4.4%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	20	18	17	44	48
Growth	33	29	48	75	71
Momentum	20	23	4	93	53
Quality	32	29	75	83	71
Low Vol	74	76	72	80	82
ESGQ	10	12	10	1	93

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Geely Automobile Holdings Ltd. (0175)

Stronger-than-expected overseas demand

- **Earnings estimate changes:** We lift our 2026-27 earnings estimates by a moderate 1-4% after raising our 2026 overseas sales volume assumptions (we raise our 2026 overseas sales forecast by ~30%, to 950k units from 750k units). This is consistent with our view that overseas expansion and mix can be meaningful earnings levers; our revisions also reflect a material step-up in EPS vs. prior assumptions.
- **Thesis #1: Overseas ambitions are scaling and increasingly structured:** We remain constructive on Geely's overseas strategy, with management targeting aggressive volume and a pivot toward building scale via regional hubs (LatAm, ASEAN, Europe), supported by an expanding global footprint and dealer network; we continue to view export/overseas business as a key earnings driver.
- **Thesis #2: Energy diversification via hybrid tech strengthens competitiveness:** We see Geely's multi-pathway powertrain matrix (BEV/HEV/EREV) and proprietary hybrid advancements as supportive of product competitiveness and market share gains, particularly as overseas markets (e.g., Europe) behave like mixed-propulsion transition markets.
- **Thesis #3: Platform/model cycle + partnerships underpin resilience:** We maintain our positive view on Geely's platform-driven model cycle and longer-term technology positioning, supported by partnerships/JVs in overseas markets (e.g., Renault in Korea and Brazil, Proton in Malaysia and Ford in Spain) and group-level integration benefits (cost/expense synergy), which we believe can support earnings resilience, even in a challenging domestic demand backdrop.

Price Performance



Company Data

Shares O/S (mn)	9,156
52-week range (HK\$)	25.62-14.96
Market cap (\$ mn)	21,235
Exchange rate	7.83
Free float (%)	56.9%
3M ADV (mn)	85.98
3M ADV (\$ mn)	230.7
Volatility (90 Day)	42
Index	HSCEI
BBG ANR (Buy Hold Sell)	44 3 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	345,232	401,824	450,367	505,851
Adj. EBITDA	36,013	47,377	42,504	43,279
Adj. EBIT	20,093	26,987	31,215	35,998
Adj. net income	16,852	25,057	29,020	33,503
Net margin	4.9%	6.2%	6.4%	6.6%
Adj. EPS	1.63	2.42	2.80	3.24
BBG EPS	1.60	1.98	2.41	2.81
Cashflow from operations	47,274	52,196	59,151	33,694
FCFF	29,357	34,278	41,233	15,776
Margins and Growth				
Revenue Growth Y/Y (%)	43.7%	16.4%	12.1%	12.3%
EBITDA margin	10.4%	11.8%	9.4%	8.6%
EBITDA Growth Y/Y (%)	32.9%	31.6%	(10.3%)	1.8%
EBIT margin	5.8%	6.7%	6.9%	7.1%
Adj. EPS growth	(1.1%)	48.7%	15.8%	15.5%
Ratios				
Adj. tax rate	17.8%	9.0%	9.1%	9.2%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	16.9%	21.0%	20.6%	20.2%
ROE	18.8%	24.4%	23.4%	22.7%
Valuation				
FCFF yield	18.0%	21.0%	25.3%	9.7%
Dividend yield	2.0%	2.9%	4.3%	5.0%
EV/EBITDA	3.2	1.9	1.2	1.0
EV/Revenue	0.3	0.2	0.1	0.1
Adj. P/E	9.7	6.5	5.6	4.9

Summary Investment Thesis and Valuation

We are constructive on Geely's powerful model cycle, based on its platform strategy, which should help the company continue to gain market share. We are in favor of management's initiative to develop the NEV business. We also like Geely's long-term prospects and technological leadership among peers in a challenging market through its partnerships or JVs with global/regional leaders such as Daimler and CATL, although at the parentco level. We expect to see business synergies, directly and indirectly, from its tie-up with Volvo and partnerships in platform-sharing, joint product development, back-end cost-sharing/component-sourcing, and a stronger product portfolio. Maintain Overweight.

Our Dec-26 PT of HK\$29 (vs. our previous Dec-26 PT of HK\$28) is based on a 11x 2026E P/E, implying around 15x for Geely's overseas business and 8x for domestic. While a 11x 2026E P/E is lower than what we use for BYD (overall ~20x P/E), we believe this is fair, considering that Geely capitalizes most of R&D, while BYD expenses most. This is below the historical average of 14x to reflect our conservative view of the industry.

Performance Drivers

Market	22%
Region	7%
Macro	10%
Style	2%
Idiosyn.	60%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.45	0.44
Region: China	0.25	0.36
Macro:		
JPM China A-shares Sentiment	0.12	0.30
Generic 1st 'CO' Future	-0.15	-0.30
Citi Economic Surprise - EM	-0.16	-0.28
Quant Styles:		
Momentum	-0.22	-0.10
Quality	-0.05	-0.10
Growth	0.01	0.06

Table 3: Geely estimate revisions

Rmb mn	2026E			2027E		
	Current	Previous	% diff.	Current	Previous	% diff.
Revenue	401,824	400,319	0%	450,367	448,508	0%
Sales growth (%)	16%	16%		12%	12%	
COGS	332,252	331,073	0%	371,669	370,260	0%
Gross profit	69,572	69,246	0%	78,698	78,248	1%
Gross margin (%)	17%	17%		17%	17%	
Operating profit	24,929	23,770	5%	29,158	28,912	1%
Operating margin (%)	6%	6%		6%	6%	
Pretax profit	27,183	26,024	4%	31,503	31,254	1%
Tax rate	9%	9%		9%	9%	
Net profit	25,057	23,994	4%	29,020	28,791	1%
Net margin (%)	6%	6%		6%	6%	
Net profit growth (%)	49%	42%		16%	20%	
EPS (basic) (Rmb)	2.48	2.37	4%	2.87	2.85	1%
EPS (fully diluted) (Rmb)	2.42	2.32	4%	2.80	2.78	1%
EPS growth (%)	49%	42%		16%	20%	

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Geely Automobile Holdings Ltd. (Overweight; Price Target: HK\$29.00)

Investment Thesis

We are constructive on Geely's powerful model cycle, based on its platform strategy, which should help the company continue to gain market share. We are in favor of management's initiative to develop the NEV business. We also like Geely's long-term prospects and technological leadership among peers in a challenging market through its partnerships or JVs with global/regional leaders such as Daimler and CATL, although at the parentco level. We expect to see business synergies, directly and indirectly, from its tie-up with Volvo and partnerships in platform-sharing, joint product development, back-end cost-sharing/component-sourcing, and a stronger product portfolio. Maintain Overweight.

Valuation

Our Dec-26 PT of HK\$29 is based on a 11x 2026E P/E, implying around 15x for Geely's overseas business and 8x for domestic. While a 11x 2026E P/E is lower than what we use for BYD (overall ~20x P/E), we believe this is fair, considering that Geely capitalizes most of R&D, while BYD expenses most. This is below the historical average of 14x to reflect our conservative view of the industry.

Risks to Rating and Price Target

Downside risks include worse-than-expected sales performance and worse-than-expected profitability.

Geely Automobile Holdings Ltd. (0175): Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	240,194	345,232	401,824	450,367	505,851	Cash flow from operating activities	26,507	47,274	52,196	59,151	33,694
COGS	(201,993)	(287,885)	(332,252)	(371,669)	(415,205)	o/w Depreciation & amortization	9,393	15,920	20,389	11,289	7,281
Gross profit	38,201	57,347	69,572	78,698	90,646	o/w Changes in working capital	9,316	18,278	6,350	21,623	(4,138)
SG&A	(4,897)	(6,482)	(6,429)	(7,206)	(7,942)	Cash flow from investing activities	(9,132)	(23,370)	(17,160)	(17,160)	(17,160)
Adj. EBITDA	27,105	36,013	47,377	42,504	43,279	o/w Capital expenditure	(12,836)	(17,918)	(17,918)	(17,918)	(17,918)
D&A	(9,393)	(15,920)	(20,389)	(11,289)	(7,281)	as % of sales	5.3%	5.2%	4.5%	4.0%	3.5%
Adj. EBIT	17,711	20,093	26,987	31,215	35,998	Cash flow from financing activities	(13,297)	(1,839)	(4,343)	(6,624)	(7,611)
Net Interest	692	137	196	288	394	o/w Dividends paid	(456,497)	(3,119)	(4,539)	(6,912)	(8,005)
Adj. PBT	18,404	20,230	27,183	31,503	36,392	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(1,604)	(3,601)	(2,459)	(2,869)	(3,334)	o/w Net debt issued/(repaid)	(880)	(1,667)	0	0	0
Minority Interest	(167)	224	333	386	445	Net change in cash	4,090	22,262	30,693	35,367	8,923
Adj. Net Income	16,632	16,852	25,057	29,020	33,503	Adj. Free cash flow to firm	13,671	29,357	34,278	41,233	15,776
Reported EPS	1.65	1.63	2.42	2.80	3.24	y/y Growth	90.1%	114.7%	16.8%	20.3%	(61.7%)
Adj. EPS	1.65	1.63	2.42	2.80	3.24						
DPS	0.20	0.31	0.45	0.68	0.79						
Payout ratio	12.1%	19.1%	18.6%	24.4%	24.5%						
Shares outstanding	10,103	10,354	10,354	10,354	10,354						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	40,865	65,319	96,012	131,379	140,302	Gross margin	15.9%	16.6%	17.3%	17.5%	17.9%
Accounts receivable	58,307	58,768	84,768	95,009	106,714	EBITDA margin	11.3%	10.4%	11.8%	9.4%	8.6%
Inventories	23,078	31,934	40,888	30,391	49,237	EBIT margin	7.4%	5.8%	6.7%	6.9%	7.1%
Other current assets	3,072	3,392	405	454	510	Net profit margin	6.9%	4.9%	6.2%	6.4%	6.6%
Current assets	125,322	159,413	222,074	257,234	296,764	ROE	19.9%	18.8%	24.4%	23.4%	22.7%
PP&E	26,384	34,370	18,108	10,947	7,794	ROA	7.9%	6.5%	7.8%	7.8%	8.0%
LT investments	-	-	-	-	-	ROCE	18.7%	16.9%	21.0%	20.6%	20.2%
Other non current assets	77,686	96,627	111,717	126,807	141,896	SG&A/Sales	2.0%	1.9%	1.6%	1.6%	1.6%
Total assets	229,392	290,410	351,899	394,987	446,454	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	834	11,996	11,996	11,996	11,996	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	125,379	101,568	133,045	145,680	162,449	Sales/Assets (x)	1.1	1.3	1.3	1.2	1.2
Other short term liabilities	988	65,895	75,723	84,454	94,098	Assets/Equity (x)	2.52	2.90	3.13	3.01	2.85
Current liabilities	127,200	179,459	220,763	242,130	268,543	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	1,762	2,000	2,000	2,000	2,000	Operating leverage	887.4%	30.8%	209.3%	129.7%	124.4%
Other long term liabilities	8,010	15,335	15,335	15,335	15,335	Tax rate	8.7%	17.8%	9.0%	9.1%	9.2%
Total liabilities	136,972	196,795	238,099	259,465	285,878	Revenue y/y Growth	34.0%	43.7%	16.4%	12.1%	12.3%
Shareholders' equity	86,742	92,398	112,917	135,024	160,522	EBITDA y/y Growth	115.0%	32.9%	31.6%	(10.3%)	1.8%
Minority interests	5,678	1,217	884	498	53	EPS y/y Growth	214.2%	(1.1%)	48.7%	15.8%	15.5%
Total liabilities & equity	229,392	290,410	351,899	394,987	446,453						
BVPS	8.62	9.14	11.17	13.36	15.88						
y/y Growth	7.7%	6.1%	22.2%	19.6%	18.9%						
Net debt/(cash)	(41,341)	(54,715)	(82,422)	(117,838)	(126,817)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	9.6	9.7	6.5	5.6	4.9
						P/BV (x)	1.8	1.7	1.4	1.2	1.0
						EV/EBITDA (x)	4.9	3.2	1.9	1.2	1.0
						Dividend Yield	1.3%	2.0%	2.9%	4.3%	5.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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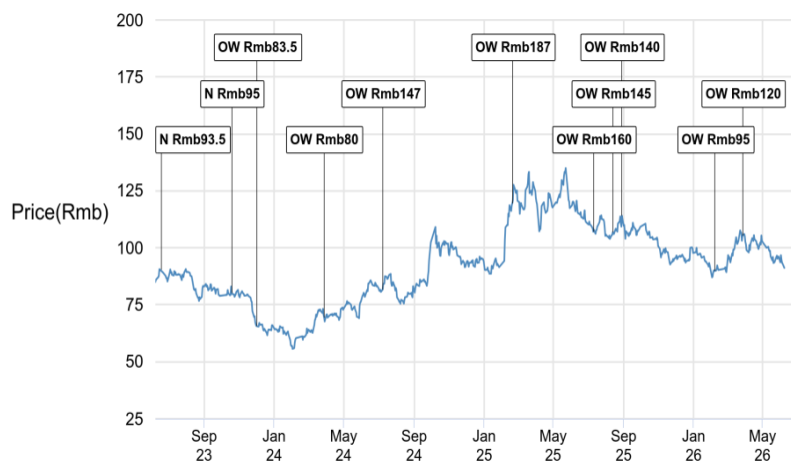
BYD Company Limited - H (1211.HK, 1211 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
19-Jun-23	OW	89.13	100
20-Oct-23	OW	82.67	103.5
03-Dec-23	OW	68.67	90
29-Mar-24	OW	67.20	85
09-Jul-24	OW	77.73	158.5
20-Feb-25	OW	122.73	200
11-Jul-25	OW	119.50	180
14-Aug-25	OW	115.00	160
30-Aug-25	OW	114.40	150
08-Feb-26	OW	92.30	110
29-Mar-26	OW	106.50	120

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

BYD Company Limited - A (002594.SZ, 002594 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
19-Jun-23	N	90.36	93.5
20-Oct-23	N	80.20	95
03-Dec-23	OW	65.68	83.5
29-Mar-24	OW	69.46	80
09-Jul-24	OW	81.66	147
20-Feb-25	OW	119.50	187
11-Jul-25	OW	107.08	160
14-Aug-25	OW	106.83	145
30-Aug-25	OW	114.06	140
08-Feb-26	OW	89.82	95
29-Mar-26	OW	105.30	120

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 03, 2014. All share prices are as of market close on the previous business day.

Geely Automobile Holdings Ltd. (0175) (0175.HK, 175 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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IB clients**	83%	79%	74%
JPMS Equity Research Coverage*	49%	39%	13%
IB clients**	94%	93%	85%

*Please note that the percentages may not add to 100% because of rounding.

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